IN THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

CAA-161/PB/2018

Under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of:

COMPOSITE SCHEME OF ARRANGEMENT

Between

A.A. AUTOTECH PRIVATE LIMITED

TRANSFERORCOMPANY
(APPLICANT COMPANY-1)

WITH

ASK AUTOMOTIVE PRIVATE LIMITED

TRANSFEREECOMPANY/
DEMERGED COMPANY
(APPLICANT COMPANY-2)

AND

VIJAYLAXMI INFRA PROJECTS PRIVATE LIMITED

RESULTINGCOMPANY
(APPLICANT COMPANY-3)

Judgment delivered on: 03.05.2019

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

Mr. S. K. MOHAPATRA, Hon'ble Member (T)

Present:

Counsel For The Petitioner : Mr. P.Nagesh, Advocate With
Mr. Dhruv Gupta, Advocate

For the RD (NR), Delhi: Mr. C Balooni, Cp,
Ms Swati Kaushal, Advocate

For The OL : Mr. Shubham Pandey, Advocate

For The ITD : Mr. Deepak Anand, Advocate
Mr. Ayushman, Advocate

ORDER

S. K. MOHAPATRA, MEMBER

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Composite Scheme of Arrangement as contemplated between the petitioner companies. The said Scheme of Arrangement (hereinafter referred as "Scheme") has been placed on record.

2. The "Transferor Company", M/s A.A. Autotech Private Limited was incorporated on 10.02.2006 under the provisions of Companies Act, 1956, having its registered office situated at Flat No.-104,929/1, Naiwala, Faiz Road, Karol Bagh, New Delhi-110005.

3. The "Transferee Company/ Demerged Company", M/s ASK Automotive Private Limited was incorporated on 18.01.1988 under the provisions of Companies Act, 1956, having its registered office situated at Flat No.-104, 929/1, Naiwala, Faiz Road, Karol Bagh, New Delhi- 110005.

4. The "Resulting Company", M/s Vijayalaxmi Infra Projects Private Limited was incorporated on 31.05.2013 under the provisions of Companies Act, 1956, having its registered office situated at Flat No.-104,929/1, Naiwala, Faiz Road, Karol Bagh, New Delhi- 110005.

5. A perusal of the petition discloses that initially the First Motion joint application seeking directions for convening or dispensing with the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the petitioner companies was filed before this bench vide Company Application (CAA) No. 134 /(PB) /2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meeting of equity shareholders, secured creditors and unsecured creditors of all the three Petitioner Companies were dispensed with, vide order dated 28.09.2018.

6. Thereafter, on 13.11.2018 the Petitioners were directed to carry out publication in the newspapers English Daily "Financial Express" (Delhi Edition) as well as in Hindi Daily "Jansatta" (Delhi Edition). In addition to the public notice, notices were directed to be served on the Regional Director (Northern Region), Official Liquidator, Registrar of Companies,

NCT of Delhi and Haryana, the Income Tax Department and to the other relevant sectoral regulators.

7. It is seen from the records that the Petitioners have filed an affidavit dated 04.12.2018 affirming compliance of the order passed by the Tribunal dated 13.11.2018. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication as directed in one issue of the 'Financial Express' English edition on 28.11.2018 as well as in 'Jansatta' Hindi edition on 28.11.2018 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region, Official Liquidator and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been enclosed.

8. The Regional Director has filed its representation on 10.01.2019 in which it has been submitted that the Registrar of Companies have observed that in respect to clause 22 of the Scheme, the petitioner companies should comply with the provisions of Section 232 of the Act.

9. In respect of the observation of Regional Director, the Petitioner Companies vide affidavit dated 25.01.2019 have

submitted that if any fee or duty is payable by the transferee company pursuant to the sanction of the Scheme, the transferee company undertakes to pay the same. Further the transferee company shall comply with the provisions of Section 232 of the Companies Act, 2013.

10. The Official Liquidator has filed its report on 24.01.2019 which states that the Official Liquidator has not received any complaint against the proposed Scheme of Arrangement from any person/ party interested in the Scheme. The Official Liquidator is of the view that the affairs of the aforesaid Companies do not appear to have been conducted in a manner prejudicial to the public interest.

11. The department of Income Tax has also filed its report on 01.03.2019, wherein the Income Tax Department has not raised any objections to the Scheme.

12. Be that as it may, in order to protect the interest of the revenue it is clarified that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues, including imposition of penalties etc. from all the petitioner companies as provided in law.

13. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

14. Certificates of respective Statutory Auditors of all the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

15. The shareholders of the applicant companies are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

16. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited (1995) 5 SCC 491 the three Judges Bench of Hon'ble Supreme Court held that:

> *" A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process."*

17. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by statutory provisions and the Rules.

18. It has also been affirmed in the petition that the Scheme is in the interest of all the petitioner companies including their shareholders, creditors, employees and all concerned.

19. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the report filed by the Regional Director, Northern Region, Ministry of Corporate

Affairs, report filed by the official liquidator and the report filed by Income Tax Department, there appears to be no impediment in sanctioning the present Scheme.

20. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

21. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

22. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

23. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

24. **THIS TRIBUNAL DO FURTHER ORDER**

i. *That the Transferor Company shall stand dissolved without following the process of winding-up; and*

ii. *That all the property, rights and powers of the Transferor Company, be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company.*

iii. *That all the liabilities and duties of the Transferor Company be transferred without further act or deed, to the Transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company; and*

iv. *That all proceedings now pending by or against the Transferor Company, be continued by or against the Transferee Company; and*

v. *That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the Transferee Company on such date without any break or interruption in service and upon terms and conditions not less favourable than those subsisting in the Transferor Company on the said date.*

vi. *That all the properties rights, investments and powers of the Transferee Company in relation to the Demerged Undertaking be transferred without further act or deed into the Resulting Company and accordingly the same shall pursuant to the Section 232 of the Companies Act, 2013 be transferred to and vest in the Resulting Company;*

vii. *That all liabilities and duties of the Transferee Company relating to the Demerged Undertaking be transferred without any further act or deed into the Resulting Company and accordingly the same shall pursuant to Section 232 of the Act be transferred and become the liabilities and duties of the Resulting Company.*

viii. *All legal, tax, regulatory, quasi judicial, administrative or other proceedings of whatsoever nature initiated by or against the Transferee Company in relation to the Demerged Undertaking be continued by or against the Resulting Company;*

ix. *All employees, workers and staffs of the Transferee Company relating to the Demerged Undertaking in service on the date immediately preceding the date on which the Scheme takes effect i.e. the effective date shall become the employees, workers and staff of the Resulting Company without any break or*

interruption in service and upon terms and conditions not less favourable than those subsisting in the Demerged Undertaking of the Transferee Company;

x. *That Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to the Transferor Company and the Transferee Company shall be consolidated accordingly; and*

xi. *The Registrar of Company shall also place all documents relating to the demerged undertaking of the Transferee Company on the file in relation to the Resulting Company*

and the files relating to the demerged undertaking of the Transferee Company and the Resulting Company shall be consolidated accordingly; and

xii. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

-Sd-

03.05.2019

(M.M. KUMAR)
PRESIDENT

-Sd-

(S. K. MOHAPATRA)
MEMBER (T)

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